



BUSN603 - CORPORATE GOVERNANCE AND RISK MANAGEMENT

Semester 1, 2026

Assessment 2

Governance Failure of PwC Australia

SUBMITTED BY

Amir Tamang (S00393664)

Bharat Dangi (S00391572)

Piyush Prasad Pradhan (S00391844)

Sudip Paudyal (S00391778)

Date: May 15, 2026

TABLE OF CONTENT

Executive Summary.....	1
Introduction.....	1
Overview.....	1
Corporate Governance and Agency Theory.....	2
Ethical Governance and Organisational Culture.....	2
Risk Management Failures and Consequences.....	3
Compliance risk.....	3
Reputational risk.....	3
Regulatory risk.....	3
ESG and Stakeholder Implications.....	3
Recommendations.....	4
Conclusion.....	4
References.....	5

Executive Summary

This document is an analysis about what went wrong with corporate governance at PwC Australia during the tax leaks scandal, which became one of the biggest governance controversies in Australian corporate history. The report explains how this failure unfolded and what they meant for public trust, government relationships and professional integrity, all of which are analyzed from the perspective of agency theory, enterprise risk management, board accountability, stakeholder theory, ESG responsibilities, ethical governance, and leadership culture. Revelations followed that the culture at PwC prioritized commercial growth over ethical behavior, and independent investigations revealed that concentrated executive power, weak accountability systems, and poor ethical oversight all played a significant role in allowing the misconduct to continue unchecked for years (ABC News, 2023; Commonwealth of Australia, 2023).

Introduction

Corporate governance is a phenomenon that explains how organizations are directed and controlled, making sure there is accountability, ethical behavior, transparency, and proper risk management in place. Corporate governance is of utmost importance since strong governance is crucial in helping organizations maintain trust with stakeholders, meet regulatory requirements, and stay sustainable over the long term. As the ASX Corporate Governance Council puts it, good governance supports responsible decision-making and protects the interests of all stakeholders (ASX, 2019).

One of the most notable governance failures in recent Australian history involved PwC Australia and the tax leaks scandal in 2023. The controversy came to light when it was revealed that confidential Australian Treasury information about multinational tax laws had been shared internally and used for commercial benefit, result of which exposed numerous serious failures across ethical governance, leadership accountability, organizational culture, and risk management (ABC News, 2023). Further in this script, we will discuss what went wrong and their consequences followed by how it could have been avoided.

Overview

PwC Australia is one of the biggest professional services firms in the country, offering audit, consulting, tax, and advisory services to both private organizations and government agencies. Firms like PwC depend heavily on confidentiality, trust, and ethical conduct because their clients expect sensitive information to be handled with care and kept secure.

The scandal centered on former PwC tax partner Peter Collins, who shared confidential Treasury information about multinational anti-tax avoidance laws with other PwC partners and staff while

he was advising the Australian government on the same policy. That information was then allegedly used to help multinational clients get ahead of the legislation before it was made public (ABC News, 2023). The fallout triggered Senate investigations, forced leadership resignations and partner dismissals, led to the suspension of government contracts, caused serious reputational damage across the firm, and brought increased regulatory scrutiny to the broader consulting industry (Commonwealth of Australia, 2023; The Guardian, 2023).

An independent review led by Ziggy Switkowski later found that governance and accountability failures within PwC Australia had gone unexamined and uncorrected for years (ABC News, 2023).

Corporate Governance and Agency Theory

Jensen and Meckling (1976) argued that when governance systems are weak, managers and executives are more likely to act in their own interest rather than in the interest of stakeholders. The PwC Australia scandal is a clear example of this. Individuals within the firm used confidential government information for commercial gain instead of upholding their confidentiality obligations and acting in the public interest. Business growth and revenue were put ahead of ethical responsibility and professional integrity (ABC News, 2023). The case also highlighted information asymmetry, where insiders at PwC held privileged knowledge that external stakeholders, including the government and the public, did not have access to. Imbalance like this with weak oversight and concentrated executive power increases governance risk and makes it harder to hold people accountable (Jensen & Meckling, 1976).

Leadership accountability was another major concern. PwC Australia initially tried to frame the scandal as the misconduct of a single partner. However, subsequent investigations revealed much broader involvement across the firm, raising serious questions about transparency and the overall governance culture (Commonwealth of Australia, 2023).

Ethical Governance and Organisational Culture

Good corporate governance depends on organisations maintaining ethical behaviour, accountability, and transparency. However, the PwC Australia scandal showed just how badly things can go wrong when ethical governance and organisational culture break down.

The misuse of confidential government information involved a breach of professional ethics, a failure to uphold confidentiality obligations, clear conflicts of interest, and weak internal oversight that allowed it all to continue unchecked (ABC News, 2023). The independent review led by Ziggy Switkowski found that these governance failures had gone unexamined and uncorrected for years. The review pointed to a culture where commercial growth and profitability consistently took priority over ethical behaviour and accountability (ABC News, 2023).

Governance failures are often driven by leadership behaviour, power concentration, and organisational politics rather than simply having inadequate rules or policies in place.

The PwC case makes it clear that governance structures on their own are not enough. If the organisational culture encourages aggressive commercial behaviour without proper ethical supervision, those structures will not prevent misconduct.

Risk Management Failures and Consequences

Risk management is a core part of good governance. The COSO Enterprise Risk Management framework sets out that organisations need to identify, assess, monitor, and manage risks across strategic, operational, compliance, reputational, and ethical areas. PwC Australia fell short on several of these.

Compliance risk

The firm failed to prevent breaches of confidentiality agreements and professional standards, even though formal compliance systems were in place. The structures existed, but they did not catch or stop what was happening.

Reputational risk

The scandal caused serious damage to PwC Australia's brand and shook public confidence in the wider consulting industry. Government agencies began reconsidering their consulting relationships with the firm, and sustained media coverage only intensified the scrutiny (The Guardian, 2023).

Regulatory risk

The fallout triggered Senate inquiries, an Australian Federal Police investigation, and broader regulatory reforms around how consulting firms engage with government (Commonwealth of Australia, 2023).

ESG and Stakeholder Implications

The scandal also raised significant ESG and stakeholder concerns. Environmental, Social, and Governance principles are becoming increasingly central to how organisations are assessed, and stakeholders expect genuine transparency, accountability, and ethical behaviour. What made the PwC case particularly damaging was the gap between what the firm said and what it did. PwC publicly promoted integrity and professionalism, but internally, behaviour told a very different story. The result was a loss of government trust, reduced public confidence, strained client relationships, lower employee morale, and lasting damage to the reputation of the industry (ABC

News, 2023). The PwC case shows that governance effectiveness is tied far more closely to organisational culture and stakeholder confidence than to financial performance alone.

Recommendations

To address the governance failures exposed by the scandal, four practical recommendations are proposed.

- a. **Formation of an Independent Ethics and Governance Committee:**
Company should establish an independent ethics and governance committee with external members responsible for monitoring confidentiality obligations, governance compliance, and ethical conduct, which would improve accountability and help reduce the conflicts of interest that contributed to the scandal (OECD, 2023).
- b. **Enhanced Whistleblower Protection Systems**
More focus should be given on strengthening its whistleblower protection systems. Stronger and independently administered reporting mechanisms would support transparency and help identify governance risks earlier, before they escalate (Commonwealth of Australia, 2023).
- c. **Improved Leadership:**
Senior executives and partners should be tied to performance evaluations for ethics outcomes and conducting periodic independent governance reviews. Reducing the concentration of executive influence and improving oversight at the leadership level helps towards preventing the kind of unchecked misconduct seen in this case (ABC News, 2023).
- d. **Enhanced Enterprise Risk Management:**
PwC Australia should enhance its enterprise risk management systems by placing greater emphasis on ethical, reputational, compliance, and cultural governance risks, which were clearly undermanaged in the lead-up to the scandal. Regular governance audits and compliance reviews should also be built into the ongoing risk management process to ensure these risks are continuously monitored (COSO, 2017).

Conclusion

This analysis looked at what went wrong with governance at PwC Australia during the tax leaks scandal. The case showed clear failures in ethical governance, leadership accountability, organisational culture, and risk management. PwC Australia had formal governance structures and compliance systems in place, but weak ethical oversight and a culture driven by commercial

priorities led to governance breakdowns that went unchallenged for years. The scandal highlighted how important ethical leadership, stakeholder trust, transparency, and a strong governance culture are to the long-term success of any organisation. The recommendations put forward in this report are designed to strengthen governance, improve accountability, and help rebuild stakeholder confidence.

References

1. ABC News. (2023, June 5). PwC PricewaterhouseCoopers government tax leak scandal explained. ABC News.
<https://www.abc.net.au/news/2023-06-05/pwc-pricewaterhousecoopers-government-tax-leak-scandal-explained/102409528>
2. ABC News. (2023, September 27). Review of PwC tax leak scandal finds lack of governance and accountability. ABC News.
<https://www.abc.net.au/news/2023-09-27/pwc-releases-internal-investigation-findings-tax-leak-scandal/102906676>
3. ASX Corporate Governance Council. (2019). Corporate governance principles and recommendations (4th ed.). Australian Securities Exchange.
4. Committee of Sponsoring Organizations of the Treadway Commission (COSO). (2017). Enterprise risk management: Integrating with strategy and performance. COSO.
5. Commonwealth of Australia, Senate Finance and Public Administration References Committee. (2023). Consulting services: Chapter 1 — PwC: The cover-up worsens the crime. Parliament of Australia.
6. Jensen, M. C., & Meckling, W. H. (1976). Theory of the firm: Managerial behavior, agency costs and ownership structure. *Journal of Financial Economics*, 3(4), 305–360.
7. OECD. (2023). G20/OECD principles of corporate governance. OECD Publishing.
<https://doi.org/10.1787/ed750b30-en>
8. The Guardian. (2023, May 12). Disgraceful breach of trust: How PwC, one of the world's biggest accountancy firms, became mired in a tax scandal. The Guardian.
<https://www.theguardian.com/business/2023/may/12/disgraceful-breach-of-trust-how-pwc>